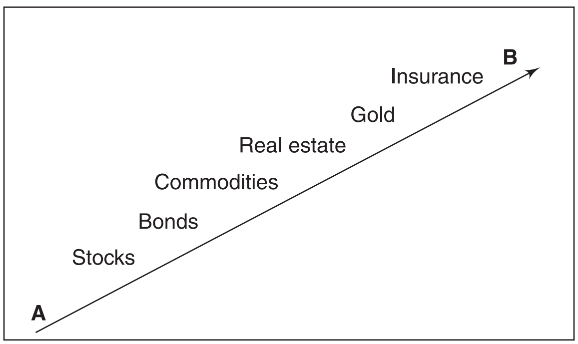
All these expenses will have to be met. The needs will increase but the income may not keep pace. If one does not plan for these expenses one may not be able to achieve the milestones as and when they come. So this couple will need to estimate their income flow and visualise their expenses. An investment plan will help them to plan for eventualities in the future.

If one is at comfort level ‘A’. From there one needs to go to a higher comfort level ‘B’. To do that one would need different types of investment vehicles like stocks, bonds, real estate, etc. One would choose the investment vehicles according to one’s needs. Fig. 1.1 explain this.

FIGURE 1.1



Investment Plan and Investment Vehicles

Investment Vehicles

Why do we have so many different types of cars and trucks? Because different people have different needs. A farmer would find the Tata Sumo useful at his village, while a couple staying in a city would find the Maruti 800 more convenient. Likewise, a Toyota Qualis would well suit a large family. Similarly, in the investment world, investment products are also known as *Investment Vehicles.*